

Apply the Four Actions Framework by asking yourself what Nintendo did differently with the Wii compared to the industry's standard value proposition or business model (illustrated with Sony's business model for the PS2).

It doesn't matter if you know or don't know the Nintendo Wii very well. If you are serious about designing great business models, you need to understand how they disrupted the industry.

Answer these four questions from the Four Actions Framework to facilitate your task:

1. What did the Wii add to the game console industry's standard value proposition or business model?
2. Which features of the industry's standard value proposition or business model did the Wii raise (i.e. strengthen)?
3. What did the Wii eliminate from the industry's standard value proposition or business model?
4. Which features of the industry's standard value proposition or business model did the Wii reduce?

Note: Kim and Mauborgne originally envisioned applying the four actions framework only to value propositions. We extended their framework and applied the same four questions to business models in general.